

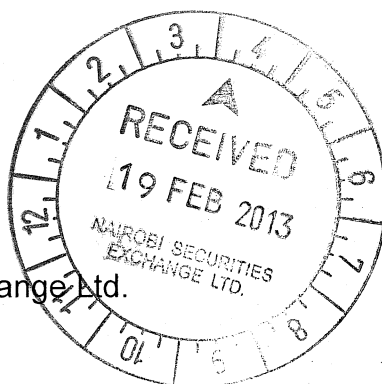


Housing Finance

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19 February 2013

Chief Executive Officer
Nairobi Securities Exchange Ltd.
Nation House, 2nd Floor
P. O. Box 43633
NAIROBI



Dear Sir,

**RE: HOUSING FINANCE AUDITED GROUP RESULTS
AS AT 31 DECEMBER 2012**

Please find enclosed a copy of our Group and Company audited results for the period ended 31 December 2012 for your information and retention.

The Board of Directors recommends to pay a final dividend of KShs 0.70 per share, to be paid on or about 14 June 2013 to shareholders on the register at the close of business on 17 May 2013.

Please acknowledge receipt on the attached copy of this letter.

Yours faithfully,

Sam Waweru
Finance & Administration Director

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HOUSING FINANCEAUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE PERIOD
ENDED 31 DECEMBER 2012

I	STATEMENT OF FINANCIAL POSITION	Group		Company	
		31.12.2011	31.12.2012	31.12.2011	31.12.2012
		Audited	Audited	Audited	Audited
A.	ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances	119,721	139,376	119,721	139,376
2	Balances due from Central Bank of Kenya	-	1,030,256	-	1,030,256
3	Government securities	379,847	723,616	379,847	723,616
4	Foreign Currency Treasury bills and bonds	-	-	-	-
5	Deposits and balances due from banking institutions	4,988,496	6,662,414	4,988,484	6,662,401
6	Deposits and balances due from banking institutions abroad	-	18,271	-	18,271
7	Government and other securities held for dealing purposes	-	-	-	-
8	Tax recoverable	-	69,156	-	46,773
9	Loans and advances to customers (net)	25,222,836	30,293,711	25,222,836	30,293,711
10	Investment securities	56,000	60,000	56,000	60,000
11	Balances due from group companies	-	-	-	-
12	Investment in associates	-	-	-	-
13	Investment in subsidiary companies	-	-	130,020	255,120
14	Investment in Joint ventures	-	86,700	-	86,700
15	Investment properties	-	442,055	-	-
16	Property and equipment	705,208	716,708	699,208	710,769
17	Prepaid operating lease rentals	47,973	47,329	41,249	40,787
18	Intangible assets	2,578	9,923	2,571	9,923
19	Deferred tax asset	81,949	272,637	81,877	220,193
20	Retirement benefit asset	-	-	-	-
21	Other assets	266,308	384,425	250,300	388,032
22	TOTAL ASSETS	31,870,916	40,956,577	31,972,113	40,685,928
B.	LIABILITIES				
23	Balances due to Central Bank of Kenya	-	-	-	-
24	Customer deposits	18,671,586	22,937,649	18,674,421	22,968,209
25	Deposits and balances due to local banking institutions	-	-	-	-
26	Deposits and balances due to foreign banking institutions	-	-	-	-
27	Other money market deposits	-	-	-	-
28	Borrowed funds	8,016,105	12,097,359	8,016,105	11,915,467
29	Balances due to group companies	-	-	14,958	100
30	Tax payable	135,934	-	160,036	-
31	Dividends payable	-	24,112	-	24,112
32	Deferred tax liability	-	-	-	-
33	Retirement benefit liability	-	-	-	-
34	Other liabilities	329,927	760,212	324,374	632,222
35	TOTAL LIABILITIES	27,153,552	35,819,332	27,189,894	35,540,110
C.	SHAREHOLDERS' FUNDS				
36	Paid up capital	1,152,125	1,153,000	1,152,125	1,153,000
37	Share premium	1,551,298	1,552,173	1,551,298	1,552,173
38	Revaluation reserve	512,332	512,332	512,332	512,332
39	Retained earnings	952,848	1,465,725	1,017,703	1,474,298
40	Statutory Loan Loss Reserve	336,713	241,845	336,713	241,845
41	Proposed dividends	161,298	161,420	161,298	161,420
42	Capital grants	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	4,717,364	5,137,245	4,782,219	5,145,818
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	31,870,916	40,956,577	31,972,113	40,685,928

II	STATEMENT OF COMPREHENSIVE INCOME	Group		Company	
		31.12.2011	31.12.2012	31.12.2011	31.12.2012
		Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)
1	INTEREST INCOME				
	1.1 Loans and advances	2,911,341	4,288,484	2,911,341	4,288,484
	1.2 Government Securities	36,222	63,185	36,222	63,185
	1.3 Deposits and Placements with banking institutions	516,516	717,146	516,516	717,146
	1.4 Other interest income		-		-
	1.5 Total Interest income	3,464,079	5,068,815	3,464,079	5,068,815
2	INTEREST EXPENSES				
	2.1 Customers' Deposits	850,003	2,296,853	850,047	2,296,931
	2.2 Deposits and placements from banking institutions	-	-	-	-
	2.3 Other interest expenses	712,514	821,927	712,514	821,927
	2.4 Total Interest expenses	1,562,517	3,118,780	1,562,561	3,118,858
3	NET INTEREST INCOME	1,901,562	1,950,035	1,901,518	1,949,957
4	OTHER OPERATING INCOME				
	4.1 Fees and commissions on loans and advances	152,142	138,865	152,142	138,865
	4.2 Other fees and commissions	59,728	72,019	59,728	63,052
	4.3 Foreign exchange trading income	-	-	-	-
	4.4 Dividend income	-	1,425	-	1,425
	4.5 Other income	79,749	71,578	78,009	69,597
	4.5 Total Non interest income	291,619	283,887	289,879	272,939
5	TOTAL OPERATING INCOME	2,193,181	2,233,922	2,191,397	2,222,896
6	OPERATING EXPENSES				
	6.1 Loan loss provision	186,297	197,766	186,297	197,766
	6.2 Staff costs	601,450	684,429	601,990	681,635
	6.3 Directors emoluments	23,887	14,387	23,887	14,387
	6.4 Rental charges	13,400	20,037	12,978	19,067
	6.5 Depreciation on property and equipment	46,737	60,941	46,737	60,684
	6.6 Amortisation charges	2,528	2,787	2,518	2,779
	6.7 Other operating expenses	343,087	345,944	341,438	344,577
	6.8 Total Other Operating Expenses	1,217,386	1,326,291	1,215,845	1,320,895
7	Profit before tax and exceptional items	975,795	907,631	975,552	902,001
8	Exceptional items	-	-	-	-
9	Profit before tax but after exceptional items	975,795	907,631	975,552	902,001
10	Current tax	(359,416)	(354,985)	(359,416)	(353,264)
11	Deferred Tax	5,899	190,688	58,872	138,316
12	Profit After Tax and exceptional items	622,278	743,334	675,008	687,053
	Earnings per share	2.70	3.22	2.93	2.98
	Dividend per share	1.20	1.40	1.20	1.40

III	DISCLOSURES	Group		Company	
		31.12.2011	31.12.2012	31.12.2011	31.12.2012
		Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)
1	Non-Performing Loans and Advances				
	a) Gross non-performing loans and advances	1,579,576	2,331,482	1,579,576	2,331,482
	b) Less: Interest in Suspense	234,433	233,788	234,433	233,788
	c) Total non-Performing loans and advances (a-b)	1,345,143	2,097,694	1,345,143	2,097,694
	d) Less: Loan loss provisions	386,187	382,598	386,187	382,598
	e) Net non-performing loans and advances(c-d)	958,956	1,715,096	958,956	1,715,096
	f) Discounted value of securities	958,956	1,715,096	958,956	1,715,096
	g) Net Exposure(e-f)	-	-		
2	Insider loans and advances				
	a) Directors, shareholders and associates				
	b) Employees	606,403	798,657	606,403	798,657
	c) Total insider Loans and Advances	606,403	798,657	606,403	798,657
3	Off-Balance Sheet items				
	a) Letters of credit, guarantees and acceptances	1,033	13,819	1,033	13,819
	b) Other contingent liabilities	-	-		
	c) Total contingent liabilities	1,033	13,819	1,033	13,819
4	Capital Strength				
	a) Core capital			3,721,126	4,179,471
	b) Minimum Statutory Capital			700,000	1,000,000
	c) Excess/Deficiency			3,021,126	3,179,471
	d) Supplementary capital			2,189,975	2,268,942
	e) Total capital (a+d)			5,911,101	6,448,413
	f) Total risk weighted assets			17,368,931	21,847,824
	g) Core capital /Total deposit liabilities			19.93%	18.20%
	h) Minimum Statutory Ratio			8.00%	8.00%
	i) Excess/Deficiency			11.93%	10.20%
	j) Core capital /Total risk weighted assets			21.42%	19.13%
	k) Minimum Statutory Ratio			8.00%	8.00%
	l) Excess/Deficiency (j-k)			13.42%	11.13%
	m) Total capital /Total risk weighted assets			34.03%	29.52%
	n) Minimum Statutory Ratio			12.00%	12.00%
	o) Excess/Deficiency (m-n)			22.03%	17.52%
5	Liquidity				
	a) Liquidity Ratio			29.10%	36.80%
	b) Minimum Statutory Ratio			20.00%	20.00%
	c) Excess(Deficiency) (a-b)			9.10%	16.80%

HOUSING FINANCE COMPANY OF KENYA LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2012

	Share capital KShs'000	Revaluation reserve KShs'000	Share premium KShs'000	Proposed dividends KShs'000	Statutory reserve KShs'000	Retained profits KShs'000	Available-for- sale reserve KShs'000	Total KShs'000
2012:								
At 1 January 2012	1,152,125	512,331	1,551,298	161,298	336,714	986,848	(34,000)	4,666,614
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	743,334	-	743,334
Change in fair value of available-for-sale investments	-	-	-	-	-	-	(2,503)	(2,503)
Transfer from statutory reserve	-	-	-	-	(94,869)	94,869	-	-
Total comprehensive income	-	-	-	-	(94,869)	838,203	(2,503)	740,831
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	875	-	875	-	-	-	-	1,750
Dividend paid - 2011	-	-	-	(161,298)	-	-	-	(161,298)
Interim dividend paid - 2012	-	-	-	-	-	(161,403)	-	(161,403)
Proposed dividends	-	-	-	161,420	-	(161,420)	-	-
Total transactions with owners for the year	875	-	875	122	-	(322,823)	-	(320,951)
Balance as at 31 December 2012	1,153,000	512,331	1,552,173	161,420	241,845	1,502,228	(36,503)	5,086,494

HOUSING FINANCE COMPANY OF KENYA LIMITED

CONSOLIDATED STATEMENT OF CASH FLOWS **FOR THE YEAR ENDED 31 DECEMBER 2012**

	2012 KShs'000	2011 KShs'000
Net cash flows from operating activities	<u>2,201,041</u>	<u>(2,812,166)</u>
INVESTING ACTIVITIES		
Purchase of property and equipment	(75,230)	(88,829)
Purchase of equity investments	-	(90,000)
Investment in Joint Venture	(86,700)	-
Purchase of intangible assets	(10,131)	(2,021)
Proceeds from sale of equipment	<u>912</u>	<u>2,548</u>
Net cash flow from investing activities	<u>(171,149)</u>	<u>(178,302)</u>
FINANCING ACTIVITIES		
Employee Share Ownership Plan	1,750	4,250
Dividend paid	<u>(319,798)</u>	<u>(192,221)</u>
Net cash flow from financing activities	<u>(318,048)</u>	<u>(187,971)</u>
Net increase in cash and cash equivalents	<u>1,711,844</u>	<u>(3,178,439)</u>

NOTES TO THE STATEMENT OF CASH FLOWS

	2012	2011	
	KShs'000	KShs'000	
(a) Reconciliation of operating profit to net cash flows from operating activities			
Group profit before taxation	907,631	975,795	
Depreciation	60,297	46,351	
Amortisation of intangible asset	2,786	2,528	
Amortisation of prepaid operating lease rentals	644	642	
Loss/(profit) on sale of property and equipment	2,521	(1,732)	
Balances with Central Bank of Kenya – CRR	(1,030,256)	-	
Increase in customer deposits	4,266,063	2,728,245	
Net movement in mortgage advances to customers	(5,070,875)	(5,719,436)	
Investment in Government securities	(350,272)	159,988	
Increase in housing project	(421,925)	-	
Increase in other assets	(138,247)	(45,970)	
Increase in other liabilities	451,496	4,850	
Increase in funds from corporate bonds	2,969,100	-	
Increase in interest payable on corporate bond	74,935	12,254	
Increase in borrowed funds	181,891	-	
Increase/(decrease) in loans from banks	<u>855,327</u>	<u>(725,862)</u>	
Net cash flows from operating activities before tax	2,761,116	(2,562,347)	
Income tax paid	(560,075)	(249,819)	
Net cash flows from operating activities	<u>2,201,041</u>	<u>(2,812,166)</u>	
(b) Analyses of cash and cash equivalents			Change in the year
	2012	2011	KShs'000
	KShs'000	KShs'000	
Cash in hand and bank	424,103	384,034	40,069
Balances due from banking institutions	<u>6,395,958</u>	<u>4,724,183</u>	<u>1,671,775</u>
	<u>6,820,061</u>	<u>5,108,217</u>	<u>1,711,844</u>